

For the investor who ignores the precise ills of the stock under consideration, and refers to the base case—undervaluation—they know that Fortuna’s wheel is more likely to lift these stocks than crush them. This is mean reversion, and it is pervasive, even if we are not particularly good at intuiting its influence. It is, as Graham testified, one of the mysteries of the business, as much a mystery to him as it is to everybody else.²⁵ Rather than focus on the experience of deeply undervalued stocks, we are distracted by the crisis. We make cognitive errors. They are easy to make because the incorrect decision—rejecting the undervalued stock—feels right, while the correct decision—buying stocks with anemic, declining earnings—feels wrong. Extrapolation is instinctive, while mean reversion is not. And when we extrapolate the fundamental performance of stocks with declining earnings, we conclude that the intrinsic value will ultimately become less than the price paid. But this is not what the data show.

The research shows, first, that valuation is more important than the trend in earnings. Cheap, low, or no-growth portfolios systematically outperform expensive, high-growth portfolios, and by wide margins. The second, more counterintuitive finding of the research is that, even in the value portfolios, high growth leads to underperformance, and low or no growth leads to outperformance. For many value investors, this is an unexpected finding. Intuitively, we are attracted to high growth and assume that high-growth value stocks are high-quality stocks available at bargain prices. We might also assume that a high return on invested capital meets Buffett’s requirements for a high-quality business. The problem is that the data show that high-growth and high-return stocks tend to disappoint. Competition acts on high returns to drag front-runners back to the pack. It is the rare business that can resist competition, and the research shows that they are extremely difficult to identify *ex ante*—before the fact. Warren Buffett has shown an extraordinary ability to find sustainable economic moats and sustainable high returns on capital, one of the conditions, along with a competent and honest management, for his “wonderful companies.” The data show, however, for those of us who don’t have Buffett’s talent, that the low- or no-growth value stocks are the more consistent bet. It seems that the uglier the fundamental business trend, the better the return, even when the valuations are comparable. This is deep value investing.

Deep value stocks are often found in hairy situations—think of Buffett’s pursuit of American Express in his Buffett Partnership days—and some are mired in scandal. But scandal and crisis don’t connote distress. These companies aren’t distressed—they tend to be cash rich and profitable—but they’re not growing or the earnings trend is unsatisfactory, and they’re deeply undervalued as a result. They have unfulfilled potential. This is why deep value investment and activism go hand in hand. In 1934 Graham